CHAPTER C-09
GRIEVANCE REDRESSAL MECHANISM

Chapter Introduction

Insurance industry is essentially a service industry where customer expectations are constantly rising. There is dissatisfaction with the standard of services. Despite continuous product innovation and significant improvement in the level of customer service, aided by use of modern technology, the industry suffers badly in terms of customer dissatisfaction and poor image. The Government and the regulator have taken a number of initiatives to improve the situation.

IRDAI Regulations on Protection of Policyholders' Interests 2017 mandate that every Insurer shall have their own board approved policy for protection of policyholders' interests which shall include

i. Service parameters including turnaround times for various services rendered.
ii. Procedure for speedy resolution of complaints.

Learning Outcomes

A. Grievance Redressal Mechanism

B. Integrated Grievance Management System (IGMS)

C. Consumer Courts

D. Consumer disputes redressal agencies

E. The Insurance Ombudsman

F. Right to Information

A. Grievance Redressal

The time for high priority action is when the customer has a complaint. Remember that in the case of a complaint, the customer is angry due to a failure of service. This is only a part of the story.

Many times, Customers get upset because they understand the situation wrongly. All service failures causes two types of feelings:

1. A feeling that the insurer was unfair (a feeling of being cheated)
2. A feeling of hurt ego (being made to look and feel small)

The customers want to feel valued and human touch is critical in this situation. As a professional insurance advisor first of all, the agent would not allow such a complaint situation to happen. He would take up the matter with the appropriate officer of the company.

A complaint is a crucial "**moment of truth**" in the customer relationship. If the agent/ company can use the situation to clarify the position, the situation can actually improve customer loyalty.

Remember, no one else in the company has ownership of the client's problems as much as an agent does.

Complaints/ grievances give us the chance to show how much we care for the customer's interests. They are in fact the pillars on which an insurance agent builds goodwill and business. **Word of mouth publicity (Good/ Bad) plays a significant role in selling and servicing**.

The procedure for grievance redressal is detailed at the end of every policy document. This should be bought to the notice of customers. As per the regulations, any grievance of a policy holder should be first referred to the Insurer's Grievance Cell. If it is not satisfactorily resolved, the complainant may approach the Regulator through the Integrated Grievance Management System.

B. Integrated Grievance Management System (IGMS)

Each Insurer has its own grievance redressal mechanism. All operating/ controlling/ corporate offices of Insurance companies have Grievance Redressal Officers. A policyholder can approach them directly for any grievance.

IRDAI has launched an Integrated Grievance Management System (IGMS) which acts as an online consumer complaints registration system. Insurers have to register all grievances that they receive in the system which is integrated with IGMS of IRDAI. IGMS helps IRDAI in monitoring grievance redress in the industry and also acts as a central repository of insurance grievance data.

Policyholders can approach the respective insurer first for any grievance. If he does not receive any response from the insurer or if the response/ resolution received is

not to his satisfaction, he can approach the Regulator under the IGMS. The complaint registration process involves two steps – (i) Registering oneself by entering one's policy details and (ii) Registering one's complaints and viewing the status of the complaints. Complaints are then forwarded to the respective insurance companies and IRDAI facilitates disposal of Grievances.

IGMS tracks complaints and the time taken for their redressal. The complaints can be registered at the following URL: http://www.policyholder.gov.in/Integrated_Grievance_Management.aspx

C. Consumer Protection

The Consumer Protection Act, 2019: This original Act of 1986 was passed "*to provide for better protection of the interest of consumers and to make provision for the establishment of consumer councils and other authorities for the settlement of consumer's disputes*". The Act was amended by the Consumer Protection (Amendment) Act, 2002 and later on 2019.Some definitions provided in the Act are as follows:

"**Service**" means service of any description which is made available to potential users and includes the provision of facilities in connection with banking, financing, **insurance**, transport, processing, supply of electrical or other energy, board or lodging or both, housing construction, entertainment, etc. **Insurance is included as a service.** However, "Service" does not include the rendering of any service free of charge or under a contract of personal service.

"**Consumer**" means any person who

- ✓ Buys goods for a consideration. It includes any user of such goods. (It does not include a person who obtains such goods for resale or for any commercial purpose) or
- ✓ Hires or avails of any services for a consideration. It includes the beneficiary of such services. (It does not include any person who avails of such service for any commercial purpose.)

"**Defect**" means any fault, imperfection, shortcoming, inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service.

"Complaint" means any allegation in writing made by a complainant that:

- ✓ an unfair trade practice or restrictive trade practice has been adopted
- ✓ the goods bought by him suffer from one or more defects
- ✓ the services hired or availed of by him suffer from deficiency in any respect
- ✓ price charged is in excess of that fixed by law or displayed on package
- ✓ goods which will be hazardous to life and safety when used are being offered for sale to the public in contravention of the provisions of any law requiring trader to display information in regard to the contents, manner and effect of use of such goods.

"**Consumer dispute**" means a dispute where the person against whom a complaint has been made, denies and disputes the allegations contained in the complaint.

D. Consumer disputes redressal agencies

Consumer disputes redressal agencies are established at district, state and national levels.

i. District Consumer Disputes Redressal Commission

- ✓ The District Consumer Disputes Redressal Commission (District Commission), has jurisdiction to entertain complaints, where value of the goods or services does not exceed Rs. 1 crore. The District Commission has the powers of a civil court.

ii. State Consumer Disputes Redressal Commission

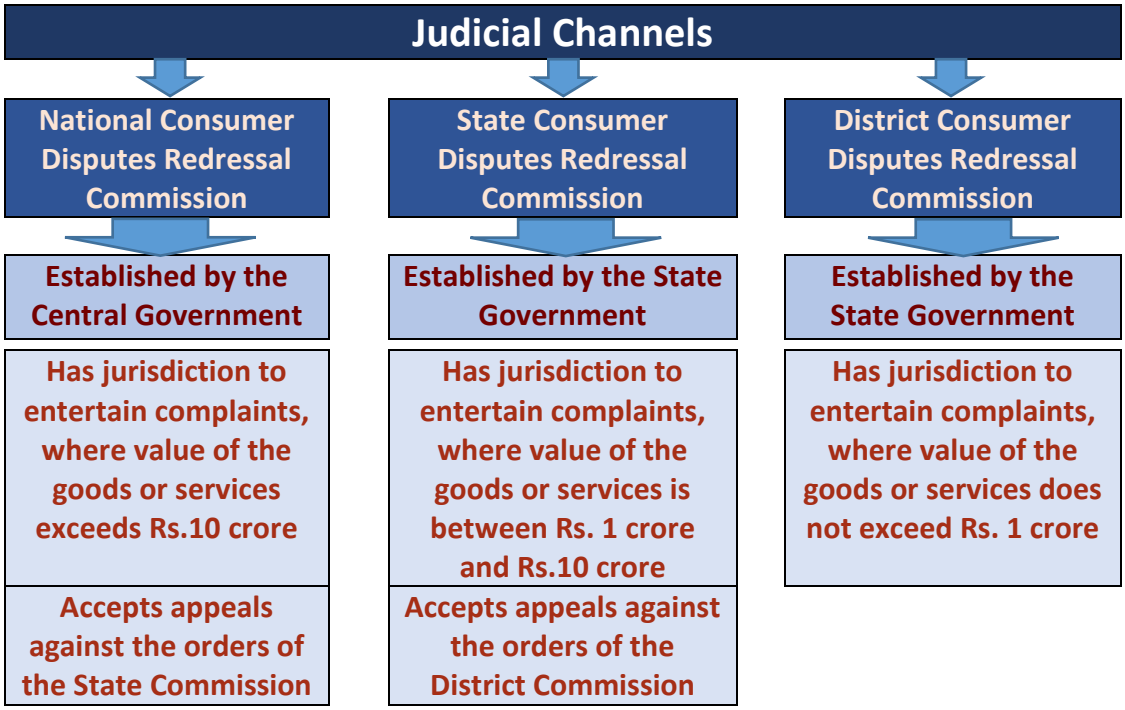
- ✓ The State Consumer Disputes Redressal Commission (State Commission) has original jurisdiction to entertain complaints where the value of goods/ service and compensation, if any claimed exceeds Rs. 1 crore but does not exceed Rs.10 crores.
- ✓ It also has appellate and supervisory jurisdiction to entertain appeals from the District Commission.
- ✓ Other powers and authority are similar to those of the District Commission.

iii. National Consumer Disputes Redressal Commission

- ✓ The National Consumer Disputes Redressal Commission (National Commission) is the final authority established under the Act.
- ✓ It has original jurisdiction to entertain disputes, where goods/ services and the compensation claimed exceeds Rs.10 crores.
- ✓ It has appellate as well as supervisory jurisdiction to hear the appeals from the orders passed by the State Commission.

Every order made by a District Commission, State Commission or the National Commission shall be enforced by it in the same manner as if it were a decree made by a Court in a suit before it. Appeals against the orders of the National Commission have to be made only at the Supreme Court.

Channels for Consumer Disputes Redressal



a) Procedure for filing a complaint

The procedure for filing a complaint is very simple in all the above three agencies. There is no fee for filing a complaint or filing an appeal whether before the State Commission or National Commission. The complaint can be filed by the complainant himself or by his authorised agent. It can be filed personally or can even be sent by post. It may be noted that no advocate is necessary for the purpose of filing a complaint.

b) Consumer Commission Orders

If the Commission is satisfied (a) that the goods in question have the defects specified in the complaint or (b) that the allegations about the services are proven; the Commission can issue orders directing the opposite party to do any of the following:

i. To **return** to the complainant the **price** (or premium in case of insurance) and/ or charges paid by the complainant
ii. To award such amount as **compensation** to the consumers for any loss or injury suffered by the consumer due to negligence of the opposite party
iii. To remove the defects or **deficiencies** in the services in question.
iv. To **discontinue the unfair trade practice** or the restrictive trade practice or not to repeat them
v. To provide for **adequate costs** to the complainants.

c) Nature of complaints

The **majority of consumer disputes** with the three Commissions relating to insurance business fall in the following main categories:

i. Delay in settlement of claims
ii. Non-settlement of claims
iii. Repudiation of claims
iv. Amount or Quantum of loss
v. Policy terms, conditions etc.

E. The Insurance Ombudsman

The Central Government under the powers of the Insurance Regulatory & Development Authority Act, 1999 made **Insurance Ombudsman Rules 2017** by a notification published in the official gazette on 25th April 2017.

Rules regarding Insurance Ombudsmen apply to all insurers and their agents and intermediaries in respect of complaints on all personal lines of insurance, group insurance policies, policies issued to sole proprietorship and micro enterprises. ['Personal lines' here means insurances taken in an individual capacity, in contrast to insurances sold to corporate entities.] Complaints relating to (a) delay in settlement of claims beyond the time specified by IRDAI, (b) partial or total repudiation of claims by the insurer, (c) disputes about premium paid or payable in terms of insurance policy, (d) misrepresentation of policy terms and conditions at any time in the policy document or policy contract, (e) legal construction of insurance policies that affect the claim; and (f) policy servicing and related grievances against insurers and their agents and intermediaries.

a) Issuance of life insurance policy, general insurance policy including health insurance policy which is not in conformity with the proposal form submitted by the proposer.
b) Non issuance of insurance policy after receipt of premium in life insurance and general insurance including health insurance and
c) Any other matter resulting from the violation of provisions of the Insurance Act, 1938 or the regulations, circulars, guidelines or instructions issued by the IRDAI from time to time or the terms and conditions of the policy contract, in so far as they relate to issues mentioned at clauses (a) to (f)

The objective of these rules is to resolve all types of complaints mentioned above, in a cost effective, and impartial manner.

The Ombudsman, by mutual agreement of the insured and the insurer can act as a mediator and counsellor within the terms of reference.

The decision of the Ombudsman, whether to accept or reject the complaint, is final.

a) Complaint to the Ombudsman

Any complaint made to the Ombudsman should be in writing, and must be signed by the insured or his legal heirs, nominee or assignee, and addressed to an Ombudsman within whose jurisdiction, the insurer has a branch/ office. It should contain the facts giving rise to the complaint, supported by documents, the nature and extent of the loss caused to the complainant and the relief sought.

Complaints can be made to the Ombudsman if:

i. The complainant had made a previous written representation to the insurance company and:
   - ✓ the insurance company had rejected the complaint or
   - ✓ the complainant had not received any reply within one month after receipt of the complaint by the insurer.

ii. The complainant is not satisfied with the reply given by the insurer

iii. The complaint is made within one year from the date of rejection by the insurance company

iv. The complaint is not pending in any court or consumer Commission or in arbitration

v. The value of the claim including expenses claimed is not above Rs 30 lakhs.

b) Recommendations by the Ombudsman

The Ombudsman will send copies of complaints to both the complainant and the insurance company. The Ombudsman will make his recommendations within one month of the receipt of the complaint.

c) Award

The dispute can be settled by intermediation. If this is not possible, the Ombudsman will pass an award to the insured which he thinks is fair within a period of 3 months from the date of receipt of all requirements from the complainant and sending a copy of the award to the complainant and the insurer.

The insurer shall comply with the award within 30 days of the receipt of the award and intimate compliance of the same to the Ombudsman. The award of the Ombudsman shall be binding on the insurer.

F. Right to Information

In addition to the rules and regulations that are specific for grievance redressal in insurance, there are certain general laws common to everyone in the country. The Right to Information (RTI) Act, 2005 enacted by the Govt. of India is an important law that gives citizens of India access to the information available with public authorities which promotes transparency and accountability in these organisations. The Act provides for appointment of a Chief Public Information Officer (CPIO) to deal with requests for information. IRDAI is obliged to provide information to members of public in accordance with the provisions of the said Act. Agents should be aware that as per the RTI Act, IRDAI and Insurance Companies may have to reveal certain information to customers and others; as also allow them to inspect the work, document, records, extracts or certified copies of documents/ records and also information stored in electronic form. However, there are certain categories of information that are exempt from disclosure.

Test Yourself 1

The _____ has jurisdiction to entertain complaints, where value of the goods or services and the compensation claimed is up to Rs.20 lakhs.

I. District Commission
II. State Commission
III. Zilla Parishad
IV. National Commission

Summary

- IRDAI has launched an Integrated Grievance Management System (IGMS) which acts as a central repository of insurance grievance data and as a tool for monitoring grievance redress in the industry.
- Consumer disputes redressal agencies are established in each district and state and at national level.
- As far as insurance business is concerned, the majority of consumer disputes fall in categories such as delay in settlement of claims, non-settlement of claims, repudiation of claims, quantum of loss and policy terms, conditions etc.
- The Ombudsman, by mutual agreement of the insured and the insurer can act as a mediator and counsellor within the terms of reference.
- If the dispute is not settled by intermediation, the Ombudsman will pass award to the insured which he thinks is fair, and is not more than what is necessary to cover the loss of the insured.

Key Terms

1. Integrated Grievance Management System (IGMS)
2. The Consumer Protection Act, 2019
3. District Commission
4. State Commission
5. National Commission
6. Insurance Ombudsman

Answers to Test Yourself

Answer 1 -The correct answer is I.